

IT hardware PLI tenure likely to be extended amid chip shortage

Because of the chip shortage that has crippled several industries around the globe for more than a year, the production linked incentive (PLI) scheme for IT hardware is likely to be extended by a year. Several applicants have pointed out the possible production delay that can be caused by the supply chain disruptions. Previously, the Centre had extended the tenure of the PLI scheme for smartphones.

33 companies shortlisted for Telecom PLI, 3 rejected

The Department of Telecom (DoT) has shortlisted 33 companies, out of the 36 applications it has received, which would be incentivised under the production linked incentive (PLI) scheme for telecom gear. Applications of Tech Mahindra, Sterlite Technologies, and Kenstel Networks are likely to be rejected on technical grounds. Shortlisted companies include Foxconn (proposed investment ₹2,080 million), Rising Stars Hi-Tech (₹1,250 million), Finnish Nokia Solutions

(₹1,250 million), American makers Flextronics (₹1,020 million), Jabil Circuit (₹1,760 million), CommScope (₹2,090 million), and Sanmina-SCI (₹1,100 million).

Mobile phones worth 46 billion rupees exported in Q1 FY21

There was a whopping 250% growth in mobile phone exports during April to June 2021 compared to 2020. Mobile phone exports for the first quarter of 2021-22 was 46 billion rupees compared to 13 billion in 2020-21. Electronic goods export has also shown a tremendous rise of 100% year-on-year in Q1 2021-22, crossing the mark of 200 billion rupees.

Israel's company seeks PM's intervention for chip manufacture

Tower Semiconductor has written to Prime Minister Narendra Modi requesting his intervention for fast tracking on a government proposal around chip manufacturing. The government of India had floated an expression of interest (EOI) for chip manufacturing at the start of this year.

It is to be noted here that the commerce and industry minister Piyush Goyal had a call with the company around June to offer support.

TEMA not in favour of amended telecom procurement policy

The government of India's move to amend the Public Procurement 2017 Policy has not gone well with the Telecom Equipment Manufacturers Association of India (TEMA). The policy has allowed 100% imports from foreign countries including China. The new rules state that parties can import components from other foreign countries and assemble them here in India. TEMA is of the view that multi-nationals can now become eligible as suppliers to public entities by way of contract manufacturing.

E-rickshaw manufacturers to get 100-acre land in UP

The Yamuna Expressway Industrial Development Authority (YEIDA) has decided to provide 100-acre land to at least 50 e-rickshaw manufacturers under the project Electric Vehicle City (EVC). With the allotment of land to interested manufacturers, the units which are currently in Delhi, Haryana, and Rajasthan will be shifted to one place. The said EVC would be developed in Sector 28 of Greater Noida. Officials have sought details of manufacturers and the size of the land that each manufacturer would require.

Domestic electrical equipment market expected to reach \$72 billion

The domestic electrical equipment market is forecast to grow at an annual rate of 12% to reach \$72 billion by 2025. At present, the total worth of India's electrical equipment market stands in the range of \$48-50 billion. The value of the exports from India will grow from \$8.62 billion at present to \$13 billion.

Some contract manufacturers on way to reach PLI targets

Apple's contract manufacturers including Foxconn and Wistron are on their way to meet PLI targets this year. Pegatron might not be able to

